

Project Proposal

Student Debt vs. Wealth Milestones

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1 Introduction

1.1 Project goal

Our goal is to find out how student debt affects future financial milestones. These milestones are: buying a house, investing in a Roth IRA, age at retirement, and total investments.

1.2 Motivation

Many Students are going to college and accepting the financial burden that comes with it. We aim to see whether college is worth it by analyzing future financial results. Several studies have been conducted on whether college is worth it. This project aims to see whether student debt is worth it.

1.3 Background and related work

General Context Student debt has always been a never-ending burden for society. In the economic state today, we can see that student debt could relate to delayed adulthood. So, a degree may increase earnings later on, but are the increased earnings worth the financial burden the debt carries? What could someone have done without having to worry about that debt? Could they retire earlier? Buy a house earlier? This project dives into the long term impact of the initial student debt levels on the timing of key financial milestones. We are looking for when an individual's worth increases because they can achieve milestones such as investments and homeownership. **Relevant Questions:**

- For every additional 10,000 in student debt, how much longer does it take until one purchases a home?
- Is there a statistically significant correlation between high undergraduate debt levels and the retirement age?
- How does the amount of student debt affect when a person opens a ROTH IRA account?
- Does student debt lead to a delay in investing at least \$30,000?

Summary of existing approaches:

There has been a few relevant studies that conducted research similar to our question. Fidelity did a study on student loans and future financial achievements. Fidelity is a retirement plan provider so their data comprises data from millions of 401k and 403b accounts. Fidelity also has a student

debt tool where a person's debt data is transferred. For their other measures, they used their annual surveys. They then used models that utilized cross-sectional surveys. Another study was done by the Federal Reserve that analyzed how student debt affects consumer spending. They compared consumer spending data across many ZIP codes with varying levels of exposure to student loan debt. They analyzed credit and debit transaction data. They applied time trends and then calculated that every 10k in debt led to a significant reduction in household consumption. Another study we found was by the TIAA Institute. They did a financial wellness survey of 2001 student loan borrowers in 2024. They explored how borrowers make decisions and how their financial behaviors were affected by using a Personal Finance Index which was a survey of 28 questions about financial concepts. This led to findings about how specific gaps in financial understanding cause financial delays from student debt.

2 Intellectual merits and broader impacts

2.1 Central question

State the problem clearly and the overarching question your project will address. How does student debt affect future financial milestones?

2.2 Specific aims and assumptions

List 2–4 specific aims or objectives tied to your central question, including key assumptions.

2.3 Planned deliverables

What will success look like?

3 Data and analysis

3.1 Datasets and processing

Describe potential datasets or repositories, data formats, and any anticipated cleaning, merging, or assumptions.

3.2 Modeling and analysis

Describe the analysis direction you plan to pursue and the program(s) you expect to use. Briefly explain why this direction fits your question and data.

4 Work plan and feasibility

Describe an initial division of responsibilities within the group, and time estimates. Briefly explain why (and how) the project is feasible within the remaining 5–6 weeks.